This is basically an ***inter-bank*** money market where funds are borrowed and lent for one day. Also known as ***over-night borrowing*** (called as **money at call**) and for a period upto 14 days (called **short notice**). No collateral is required to borrow from this market. Funds are usually raised from this market upto three days—the higher the interest, the longer the period for which the funds have been borrowed.

The scheduled commercial banks, co-operative banks operate in this market as both the borrowers and lenders while LIC, GIC, UTI, IDBI and NABARD are allowed to operate as only lenders in this market. The interest rate in this market depends upon the demand and supply of the funds on a particular day which is market determined.

(vi) Money Market Mutual Fund (MF)

Popular as Mutual Funds (MFs) this money market instrument was intorduced/organised in 1992 to provide short-term investment opportunity to the ***individuals.***

The initial guidelines for the MF have been liberalised many times. Since March 2000, the MFs have been brought under the preview of the SEBI besides the RBI. At present, a whole lot of financial institutions and firms are allowed to set up the MF—commercial banks, public and private financial institutions and private sector companies. At present 35 MFs are operating in the country—managing a corpus of 3,41,378 crore.

(vii) Repos and Reverse Repos

In the era of economic reforms the development of ***money market*** and the ***reverse repo money market*** are considered the most dynamic and the most favored instruments of the Indian money market by the experts. 'Repo' is basically short form or the acronym of the ***rate of repurchase.*** The RBI in a span of four years, introduced this instrument of the money market—***repos*** in December 1992 and ***reverse repos*** in November 1996.

Repos allow the banks and the financial institutions to borrow money from the RBI for the short-term (by selling Government Securities to the RBI). In ***reverse repos,*** the banks and financial institutions purchase Government securities from the RBI (basically here the RBI is borrowing from the banks